- patience is a virtue with acquisitions, as is occasional boldness.

They shared “old-fashioned, pre-modern values.” They were “deeply iconoclastic.” Often this was reflected in their geography. New York City does not figure among their chief haunts. Instead, they put themselves outside of the financial nexus.

This helped them ignore the herd, to blot out conventional wisdom and noise. They fostered “simplicity of focus.” Outsiders show “a genius for simplicity,” Thorndike writes. This allowed them to cut “through the clutter of peer and press chatter to zero in on the core economic characteristics of their business.” He provides many examples of all these traits.

And you see the result: some jaw-dropping track records.

Take Henry Singleton of Teledyne. (This is one of my favorite case studies in all of business history.) Teledyne was a conglomerate — nothing too special. But look at how Singleton used his tool kit. He avoided paying dividends. He ignored reported earnings, focusing on cash flow. He had Teledyne buy back 90 percent of its stock over time. If you had put $1 with Singleton in 1963, you’d have had $180 when he retired in 1990. He beat the market by a factor of 12.

Singleton and his team were also owners. I cannot stress this enough.

When Singleton retired, the board of directors owned 40 percent of the stock. All of the Outsiders’ incentives lined up with shareholders’.

Consider another great example: Tom Murphy at Capital Cities. He started out with five TV stations and four radio stations. His competitor, CBS, had 16 times Capital Cities’ market cap. Murphy was at the helm of a rowboat against an ocean liner. By the time Murphy was done, Capital Cities was three times as valuable as CBS. “The rowboat won,” Thorndike writes. “Decisively.”

Murphy’s formula was simplicity itself: Focus on cash flow. Use leverage to acquire more properties. Improve operations. Pay down debt. And repeat.

If you had put $1 with Murphy when he became CEO in 1966, you would have had $204 when he sold out to Disney 29 years later. That rate of return’s almost 20 percent annually and it beat the market by nearly 17-fold! (And it beat competitors by fourfold.) Under Murphy,